- It appears that a balanced diet prescribed by the Nutrition Advisory Committee of Indian Council of Medical Research formed the basis for fixing the above amount. It is the Food Energy Intake (FEI) approach.
- It estimated that along with expenditure needed to meet the dietary needs reasonable expenditure needed for consumption of other items is ₹ 35. If this amount has been adopted 80 per cent of Indian people would have been placed under poverty.

Task Force on Projections of Minimum Needs and Effective Consumption Demand

- It was constituted by Planning Commission in 1977 under the Chairmanship of Dr. Y.K Alagh. It submitted its report in 1979.
- It fixed nutritional requirement for rural area at 2400 kilocalories per-capita per day and at 2100 for urban area. It was based on recommendation of Nutritional expert group in 1968.
- The task force used NSSO's first quinquennial consumption expenditure survey of 1973-74. The consumption expenditure survey presents data of quantity and value of each food and non-food items fractile class wise along with proportion of the population falling in that fractile. The calorific value and the corresponding amount of expenditure can be calculated.
- The task force calculated that ₹ 49.09 is needed for rural areas and ₹ 56.56 for urban areas to meet the above prescribed calorie intake at 1973-74 prices.
- It is also a case of Food Energy Intake Method.
- The Planning Commission updated the poverty line for 1977-78 and 1983-84.
- First the consumption expenditure distribution given by NSSO farctile class wise was scaled up by Planning Commission using the ratio between mean private final consumption expenditure (PFCE) of CSO and NSSO. It is an adjusted consumption